

A Theory of Political Acquisitions[†]

by

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We study a dynamic model where a firm can grow in size by acquiring competitors and lobby office-seeking politicians. When the firm is distressed, the incumbent politician loses the office with some probability. Larger firms are less likely to experience distress but their distress has more severe political consequences. To prevent these, politicians can offer political support to the firm. We show that, in equilibrium: (i) the level of political support is non-monotone in the firm's size; (ii) the firm can complete acquisitions just to extract political support; and (iii) the number of these "Political Acquisitions" is non-monotone in the strength of politicians' re-election incentives.

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1 Introduction

Markets and politics are interconnected. Politicians set the rules of the game for firms. Firms play by these rules, but try to influence them to their advantage. In this context, Zingales (2017) warns against the risk of a "Medici Vicious Cycle," wherein market power begets political power and vice-versa.⁴ Recent research supports this concern. Callander, Foarta, and Sugaya (2022) propose a dynamic model where an incumbent firm can invest in innovation and lobbying. A feedback loop effect emerges. Firms with market power have more profits to invest in politics, thereby further increasing their market power. Empirical research confirms these findings. Cowgill, Prat, and Valletti (2024) show that US firms lobby more after mergers and acquisitions. Moshary and Slattery (2024) find a similar result in the US car retail industry.

These papers think about lobbying as a *quid pro quo* exchange. Firms share part of their profits with politicians in exchange for favors. One implication is that lobbying can be measured in dollars. Indeed, many researchers have used

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⁴According to Zingales (2017), the motto of the Medici Family, who ran Florence during the Renaissance, was: "Money to get power. Power to protect money."

lobbying data to understand the causes and consequences of firms' influence (see Bombardini and Trebbi (2020) for a review). A puzzling fact is that firms spend little money in politics (Zingales, 2017; Ansolabehere, De Figueiredo, and Snyder Jr, 2003), although more recent evidence shows increasing trends in the past two decades; see Bombardini and Trebbi (2025). Does this mean that there is no evidence of the risk of a Medici Vicious Cycle? Firms do not need politics to build market power?

In this paper, we propose a dynamic model of the interaction of market power and political power where large firms can obtain political favors without spending a single dollar in lobbying. Firms grow via acquisitions in order to become politically indispensable and extract rents without transfers.

In each period, a firm operates in the market. The firm's market revenues are stochastic. If revenues are sufficiently low, the firm is *distressed* and it bankrupts by the end of the period. If the firm is not distressed, it can acquire another firm upon paying a one-time merger-specific re-organization cost. If the acquisition goes ahead, the firm grows in size. Acquisitions generate market value since larger firms are assumed to be more efficient. This simultaneously increases the firm's per-period profits and its probability of surviving across periods. The firm then completes an acquisition if its net present value outweighs the re-organization cost.

There is an infinite population of politicians. Each politician can stay in office for at most two periods. The firm's distress has political consequences. Whenever the firm bankrupts, the office-holder politician loses re-election with some probability. We assume that the larger the distressed firm's size, the higher the probability that the politician loses re-election. For instance, when larger firms go bankrupt, more workers lose their job which results in stronger political damage for incumbent politicians.

In each period, the firm and the incumbent politician play a lobbying game. In the lobbying game, the firm self-reports its per-period revenues to the politician, who then decides on the level of political support. In practice, political support takes various forms (e.g., subsidies, tax reliefs, regulation, etc.). In the model, this is captured by a transfer which increases the firm's per-period revenues. The firm's and the politician's incentives however are only *partially* aligned. This is the key tension between the two players. Higher political support is always good for the firm. On the contrary, politicians prefer to offer support only to the extent necessary to prevent the firm's distress.

The tension arises because of the information structure. Politicians observe whether the firm is distressed or not, but do not know how much distressed the firm eventually is. Then, politicians know *when* their intervention is necessary to prevent the firm's bankruptcy (and its political consequences), but do not know *how much* to intervene.

Unlike standard lobbying models, the firm's self-reported message plays no strategic role in equilibrium: as we show, all firm types send the same message, making communication cheap talk. Political influence in our model does not operate through information transmission or monetary transfers to the politician,

but through size as a state variable. By growing large enough, the firm acquires what might be called a *political put*: the implicit assurance that politicians will intervene in bad states of the world, not because of any agreement or payment, but because letting the firm fail has become politically intolerable.

The first result is that the equilibrium level of political support is inverted-U shaped in the firm's size. When the firm is small, acquisitions increase its political power. This happens along two channels. First, larger firms' distress have more severe political consequences. Hence incumbent politicians are more generous with larger firms. The second is an information channel. Politicians know that larger firms are less likely to be distressed. Therefore, when they observe a large firm being distressed, they infer that the firm must have suffered a very severe economic shock, and thus that stronger political support is needed to prevent distress. However, these effects are bounded. Politicians never grant more political support than what is needed to prevent the firm's bankruptcy with probability one. Since larger firms are more cost-efficient, this upper bound also decreases with the firm's size. As a result, once the firm reaches a certain size, political support begins to decline with further acquisitions.

Whenever the firm has more information than the politician, it can obtain strictly positive *Political Profits*. When politicians do not exactly observe the firm's financial condition, they need to rely on the firm's self-reported information. However, in the lobbying game, the firm has no incentives to truthfully report its financial condition, so that any message is just cheap talk. Politicians know this. Therefore, they may over-provide support to sufficiently large firms, allowing them to earn positive profits even in periods of distress.

The core results of the paper concern how the firm's political power shapes the equilibrium market structure. First, we show that the prospect of obtaining political support can induce the firm to complete acquisitions that would not be profitable absent lobbying. These *Political Acquisitions* follow from the firm's objective to become large enough to extract political rents. As in Callander, Foarta, and Sugaya (2022), a feedback loop dynamic emerges. As the firm grows in size through acquisitions, its market power (which we measure with its per-period expected margin) increases. Since larger firms' distress has stronger political consequences, increased market power increases the firm's political influence. Politicians offer more support to larger firms. In turn, stronger political support improves the firm's profitability and survival chances, increasing the probability that further acquisitions are completed. As mentioned above, this feedback loop is bounded. Once the firm is sufficiently large, additional acquisitions no longer generate political rents. Political power stops increasing with size, and any further acquisition is driven by purely market effects.

The equilibrium number of Political Acquisitions is non-monotone in the strength of politicians' re-election incentives. When politicians attach little value to staying in office, they are not scared by large firms' distress, and thus no acquisition is driven by political reasons. As re-election incentives increase, size becomes a credible way to extract rents, and the firm undertakes a sequence of acquisitions to obtain them. However, when re-election incentives are very

strong, politicians are worried even by the distress of relatively small firms. The firm can then extract substantial political rents while staying small, and has little reason to keep acquiring. As a result, the equilibrium number of Political Acquisitions (acquisitions that would not be profitable absent lobbying) is inverted-U shaped in the strength of politicians' re-election incentives.

This paper contributes to a growing literature at the intersection of Industrial Organization and Political Economy. Its primary contribution is to identify a new channel through which market power and political power reinforce each other: firms acquire competitors not (only) for market reasons, but to become politically indispensable. Two implications follow. First, our model adds a political motive to the list of non-price reasons why firms merge, alongside killer acquisitions (Cunningham, Ederer, and Ma (2021)) and monopsony acquisitions (Bar-Isaac, Johnson, and Nocke (2025)). Second, it extends the too-big-to-fail logic of Farhi and Tirole (2012) who show that banks choose risk *because* they expect bailouts, not despite them. Political indispensability in our model need not arise from financial fragility or correlated risk-taking: size through acquisitions achieves the same outcome. Acquisitions become a tool to make the firm politically rather than systemically indispensable.⁵ Both implications bear on merger review. If acquisitions can be motivated by the prospect of political protection, standard market-based screens are insufficient.

The most closely related paper is Callander, Foarta, and Sugaya (2022). They show the existence of a feedback loop between market power and political power. In their model, a politician internalizes a share of the value generated by political protection for an incumbent firm. When the incumbent firm has enough market power, political protection has no more value. Anticipating this, the politician stops protecting after a certain threshold is reached. As in this model, the loop is bounded. Mergers have recently been the attention of several contributions, because of their policy and empirical relevance. Broso and Valletti (2026) show that mergers between incumbent firms increases their incentives to lobby. This happens because mergers mute price competition which would partially dissipate competing firms' returns from lobbying. The theoretical model in Cowgill, Prat, and Valletti (2024) has a similar flavor. Instead, Moshary and Slattery (2024) frame lobbying as a public good: market consolidation via mergers increases lobbying as it mitigates free riding problems. Kang (2016) adopts a similar assumption to study the private returns from lobbying in a structural model of the US energy sector. Callander, Foarta, and Sugaya (2024) study a dynamic model of mergers and acquisitions where pro-competitive reforms' effects can be offset by firms' incentives to acquire their competitors.

The remainder of the paper is organized as follows. In Section 2, we present the model. Section 3 characterizes its equilibrium. Section ?? contains a discussion and the welfare implications of our results. Finally, Section 5 concludes. Proofs are relegated to the appendix.

⁵Berndt, Duffie, and Zhu (2025) document a substantial post-crisis decline in market-implied bailout probabilities for globally systemically important US banks.

2 Model

Time is discrete and runs over an infinite horizon. Let $t = 1, 2, \dots$ index each time period.

Players. There are infinitely many politicians and $N + 1$ firms, with $N \in \mathbb{N}$. There is an acquirer firm (A) and N possible target firms ($i = 1, 2, \dots, N$).⁶ The acquirer firm can grow in size by acquiring the target firms. The acquirer firm's time discount factor is $\delta \in (0, 1)$. Politicians' time discount factor is $\delta' \in (0, 1)$. In each period t , each firm $j \in \{A, 1, 2, \dots, N\}$ has size $S_j^t \in \mathbb{N}$. All firms start with the same size, $S_j^0 = S^0$ for all j . For simplicity, let $S^0 = 1$. Target firms cannot complete acquisitions, e.g., because they are financially constrained.

Politicians want to be re-elected. However, they can stay in office for at most $\kappa \in \mathbb{N}$ periods. For simplicity, let $\kappa = 2$. When a politician ends their term (either because of an electoral defeat or because the term limit is hit), a new politician takes the office. We discuss causes of electoral defeats below. Let $e^t \in \{1, 2\}$ denote politicians' tenure. The politician in office in the first period is up for re-election, i.e., $e^1 = 1$ (this pins down the political cycle at the start of the game). The politicians' order of play is exogenously determined.⁷

The acquirer firm starts each period t by drawing its type θ^t from the uniform distribution $U[0, 1]$. Draws are i.i.d. across periods. One can think of θ^t as the firm's revenues in that period. The firm is *ex-ante* distressed when:

$$\theta^t < \phi(S_A^t) ,$$

where $\phi(S_A^t)$ captures the firm's costs.⁸ Let $\phi(1) = \frac{1}{2}$, $\phi \in C^2$, $\phi' < 0$, $\phi'' \leq 0$, and $\phi(s') = 0$ for all $S_A^t \geq s'$, with $s' \in \mathbb{N}$.⁹ The larger the firm, the lower its costs. Therefore very bad shocks, that is, lower realizations of θ^t , are required to cause the firm's distress of such large firms.

Actions and Timing. In each period t , the game runs in two steps. First, the acquirer firm has a *lobbying opportunity*: the firm (with size S_A^t) sends a message $\mu_t \in [0, 1]$ to the office-holding politician, self-reporting its type θ^t . Then, the politician chooses a policy $g_t \in [0, \bar{g}]$, with $\bar{g} \geq \frac{1}{2}$.¹⁰ The policy g_t captures the level of political support granted to the firm. In practice, political support takes

⁶Throughout the paper, we often refer to the acquirer firm as *the* firm.

⁷Suppose that $w = 1, 2, 3, \dots$ indexes politicians. Then, in period t , politician $w = t$ takes the office whenever the office-holding politician in period $t - 1$ is either defeated or they have hit the term limit.

⁸A possible interpretation is as follows. Suppose that the firm produces one unit of output. Then, θ^t can be interpreted as the market's (stochastic) price, and $\phi(S_A^t)$ as the firm's marginal cost (which depends on its size). The assumptions of price-taking behavior and fixed output are not consequential for the results.

⁹We assume $s' < N$. The assumption that $\phi(s) = 0$ for all $s \geq s'$ is a modeling convenience, which we adopt to rule out the case of unbounded growth in the firm's size. If this were not the case, the firm may find it profitable to complete all the N possible acquisitions.

¹⁰ $\bar{g} \geq \frac{1}{2}$ guarantees that politicians always have enough resources to save the acquirer firm from distress.

various forms (e.g., subsidies, tax reliefs, or *ad-hoc* regulation). Recall that our model is not *quid pro quo* and the firm does not transfer any money to the politician. Political support helps the firm survive periods of distress. Hence the firm is *ex-post* distressed when:

$$\theta^t + g_t < \phi(S_A^t) .$$

Second, if the acquirer firm is not ex-post distressed, it has an *acquisition opportunity*. It can acquire one of the N target firms. The order of possible acquisitions is exogenously determined.¹¹ We denote as $\alpha_t = 1$ if the period t acquisition goes ahead, and $\alpha_t = 0$ otherwise. If $\alpha_t = 1$, starting the next period, the acquirer firm grows in size:

$$S_A^{t+1} = S_A^t + \alpha_t .$$

Each acquisition implies a one-time re-organization cost $\epsilon \geq 0$ for the acquirer firm. For instance, the cost ϵ can be interpreted as the cost of managerial integration (frictions that arise when the two firms must unify their management).¹²

Finally, if the acquirer firm is not ex-post distressed, the game proceeds to the next period. If the acquirer firm is ex-post distressed, the game ends. We interpret this outcome as the acquirer firm's bankruptcy or off-shoring. As we shall see next, this negative economic shock has political consequences.

Payoffs. The per-period payoff of the acquirer firm is:

$$\pi^t = \theta^t + g_t - \phi(S_A^t) .$$

By increasing in size, the firm becomes more efficient ($\phi(S_A^t)$ reduces), and thus more profitable. Higher political support g_t is always optimal for the firm.

This is not the case for politicians. We assume all politicians share the same utility function. Politicians' per-period payoff is:

$$u^t = k - \frac{1}{2}g_t^2 .$$

We interpret $k \geq 0$ as the value of the office, and $\frac{1}{2}g_t^2$ as the opportunity cost for politicians of spending public money (or designing ad-hoc regulation) to help firms.

The acquirer firm's distress has political consequences. In particular, we assume that if the firm is ex-post distressed (in which case it bankrupts or off-shores), the office-holding politician loses the office with probability $\gamma(S_A^t)$. Let $\gamma(1) = 0$, $\gamma \in C^2$, $\gamma(S_A^t) > 0$ for all $S_A^t > 1$, $\gamma' > 0$, and $\gamma'' \geq 0$. Politicians

¹¹Formally, there exists a mapping which assigns to each period t a possible target firm i . Since $N < \infty$, the acquirer firm may acquire all possible competitors before the end of the game. Since target firms are assumed identical, the exogenous ordering is without loss of generality.

¹²We assume that whenever an acquisition is optimal for the acquirer firm, it is also optimal from the target's perspective. This would be the case whenever the re-organization cost ϵ is entirely borne by the acquirer firm.

are willing to offer political support to the acquirer firm if and only if this is necessary to avoid its distress.

The key assumption is that the larger the size of the distressed firm, the higher the probability that the office-holder politician loses the office. This assumption captures the following intuition. When larger firms go bankrupt or off-shore, more workers lose their job, more firms lose a trading partner, and more consumers lose access to a product or service. This negative economic shock arguably results in stronger political pressure for incumbent politicians.

Note that different firm characteristics can make a firm's distress politically costly: its centrality in value chains, the labor intensity of its technology, or its geographic footprint. Our function $\gamma(\cdot)$ is a reduced form for this political exposure, and we focus on one channel through which the firm can raise it: growth via acquisitions. The broader lesson of our model applies to these other cases too: not just acquisition decisions, but also technology choices, business models, or location decisions could be distorted by the goal of becoming politically indispensable.¹³

In our model, when a politician loses the office, they earn a per-period payoff of zero for the remainder of their lifetime. Payoffs are realized before the end of each period. Figure 1 summarizes the timing of the game from the acquirer firm's perspective.

Information Structure and Equilibrium Concept. We assume that politicians do not observe θ^t . However, they observe an imperfectly informative signal. They observe with probability 1 whether the firm is ex-ante distressed. Let

$$\chi^t = \mathbf{1}_{\{\theta^t < \phi(s_A^t)\}} \in \{0, 1\}$$

denote the office-holder politician's signal.

The concept of equilibrium is Perfect Bayesian Equilibrium in pure strategies. We therefore require on-path beliefs to be updated according to Bayes' Rule, and politicians' strategies to be optimal given those beliefs.

3 Equilibrium

3.1 Market Acquisitions

To distinguish acquisitions which are driven by political forces rather than market ones, we start the analysis by focusing on a simple benchmark. To begin, assume first that politicians are not office-seeking ($k = 0$). Intuitively, this makes politicians always deny political favors to the acquirer firm. Therefore, any acquisition follows from market forces.

PROPOSITION 1 (MARKET ACQUISITIONS) *Assume $k = 0$. In equilibrium,*

¹³Gratton and Lee (2026) show that a firm's irreversible technology choices can similarly create political power, by reshaping voters' and therefore politicians' incentives to regulate it. See also Section 4.3 for a discussion and applications.

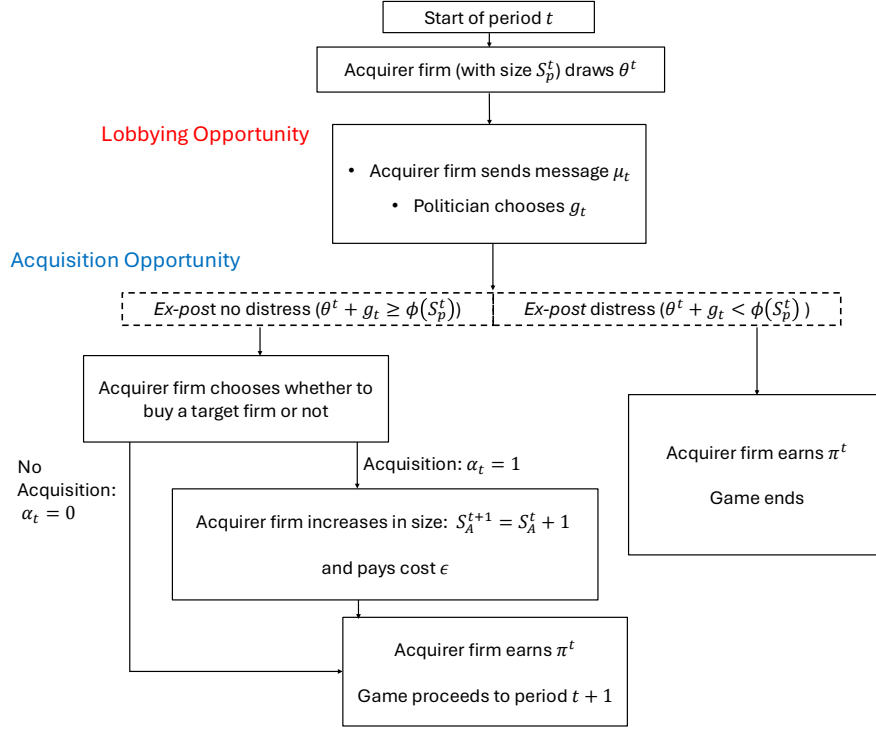


Figure 1
Timing of the Game from the Acquirer Firm's Perspective.

1. Politicians never grant political support: $g_t^* = 0$.
2. There exists $\bar{\epsilon}_m > 0$ such that, in each period t , the acquirer firm completes an acquisition if and only if

$$S_A^t + 1 \leq s' \quad \text{and} \quad \epsilon \leq \bar{\epsilon}_m .$$

When $k = 0$, politicians attach no value to being re-elected. Then, the acquirer firm's risk of distress, and the associated risk of electoral defeat, does not worry politicians. Providing political support to the firm would help politicians to mitigate this risk upon paying a cost. When politicians seek no re-election, paying this cost cannot be optimal as it brings no benefits. This is the intuition behind Statement 1.

Even if lobbying is not effective, and the acquirer firm cannot obtain political favors, acquisitions can obviously still be profitable. By increasing in size, the acquirer firm becomes more efficient. The cost function $\phi(S_A^t)$ reduces. This has two positive effects. First, from a *static* perspective, the cost reduction increases

the firm's per-period expected profit

$$\mathbb{E}[\pi^t] = \frac{1}{2} - \phi(S_A^t) .$$

Second, from a *dynamic* perspective, when $\phi(S_A^t)$ decreases, the firm's ex-ante probability of distress

$$\Pr(\theta^t < \phi(S_A^t)) = \phi(S_A^t)$$

also decreases. The firm finds it optimal to complete acquisitions whenever these benefits are sufficiently high to outweigh the re-organization cost ϵ . Also, acquisitions stop when the maximum efficient size s' is reached. This is the intuition behind Statement 2.

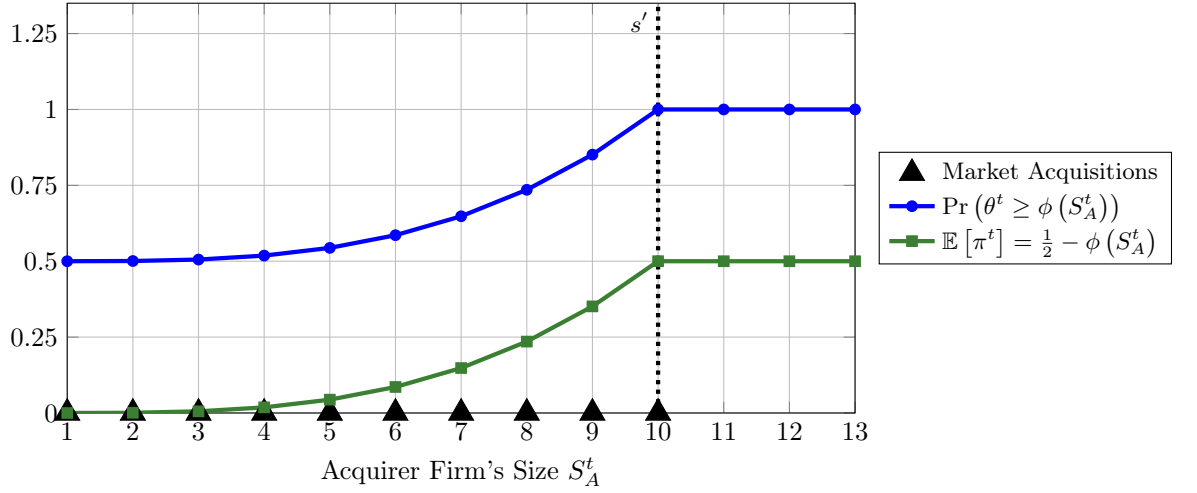


Figure 2
Market Acquisitions.

Note: The plot is obtained by setting $\phi(S) = \frac{1}{2} - \frac{1}{2}(\frac{S-1}{9})^3$. The survival probability and the expected profit are measured in different units (resp., a probability in $[0, 1]$ and a monetary amount) and are shown on a common axis only for visual comparison; under our parameterization the two curves differ by a constant of $\frac{1}{2}$.

The Proof of Proposition 1 shows that the acquirer firm's problem is convex. The value of each acquisition increases in the acquiring firm's size.¹⁴ Provided that the re-organization cost ϵ is sufficiently low that the first acquisition (from size $S_A^t = 1$ to size $S_A^{t+1} = 2$) is optimal, then all further acquisitions are also optimal. This follows from the concavity of ϕ . The positive value of acquisitions

¹⁴An analogous result emerges in the Cournot model, as shown by Callander, Foarta, and Sugaya (2022). In a Cournot oligopoly, each firm's equilibrium profit is decreasing and convex in the total number of firms.

however exhausts as soon as S_A^t reaches s' . This is because $\phi(S_A^t) = 0$ for all $S_A^t \geq s'$. Figure 2 summarizes the results from Proposition 1.

3.2 Political Acquisitions

Let us now consider the case of office-seeking politicians ($k > 0$). We start by considering players' incentives in the lobbying game.

PROPOSITION 2 (LOBBYING EQUILIBRIUM) *In any equilibrium,*

1. *All types of acquirer firm send the same message.*
2. *Politicians' optimal level of political support is:*

$$g_t^* = \begin{cases} 0 & \text{if } e^t = 2 \text{ or } e^t = 1 \text{ and } \chi^t = 0 \\ \min \left\{ \phi(S_A^t), \frac{\delta' k \gamma(S_A^t)}{\phi(S_A^t)} \right\} & \text{if } e^t = 1 \text{ and } \chi^t = 1 \end{cases}.$$

Office-seeking politicians grant political support ($g_t^* > 0$) to the acquirer firm when they are up for re-election ($e^t = 1$), the firm is distressed ($\chi^t = 1$), and it has completed at least one acquisition ($S_A^t > 1$).¹⁵ In this case, the office-holding politician knows that if they do not grant political support, the firm will not survive the period, and they will then lose the office with probability $\gamma(S_A^t) > 0$. Politicians trade-off the opportunity cost of using public resources to help the firm against the risk of losing re-election. When the firm is not ex-ante distressed ($\chi^t = 0$), the incumbent politician is sure to be re-elected, and the optimal level of political support is $g_t^* = 0$. The same is true when the politician cannot be re-elected ($e^t = 2$), as using public resources to help the firm would bring no benefits but only costs.

In the lobbying game, the acquirer firm's and the politicians' incentives are only *partially* aligned. This is the key tension between the two players. Higher political support is always good for the firm. On the contrary, politicians prefer to offer support only to the extent necessary to prevent the firm's distress. That is, politicians' optimal level of political support is: $g_t = |\theta^t - \phi(S_A^t)|$. However, they do not observe θ^t , and thus need to rely on the firm's self-reported information. Unluckily for them, the firm has no incentives to convey information and truthfully report its type. Any equilibrium message is just cheap talk. This distinguishes our mechanism from standard lobbying models, where communication or transfers are the channel of influence. Here, influence is entirely embedded in the firm's size, not from what it pays or says.

Figure 3 plots the equilibrium level of political support (the red curve) and it shows how it is inverted-U shaped in the firm's size.

The acquirer firm's size shapes the equilibrium level of political support along three margins. First, larger firms' distress have stronger political consequences. This is captured by the function $\gamma(S_A^t)$. When a larger firm is ex-post distressed,

¹⁵When $S_A^t = 1$, $\gamma(1) = 0$ so that $g_t^* = 0$.

the office-holder politician loses re-election with higher probability. This gives them an incentive to be more generous and grant stronger political support to an ex-ante larger distressed firm.

Second, size conveys *some* information. Larger firms are less likely to be distressed. Thus, when a politician observes $\chi^t = 1$ and S_A^t is large, they infer that the firm must have suffered a very low realization of θ^t . This makes higher levels of political support needed for the firm to survive the period of distress.

Third, size limits the acquirer firm's ability to obtain political support. Political support is bounded. Suppose that in period t the firm has no revenues ($\theta^t = 0$). To save such a firm from distress, the politician would have to cover the totality of the firm's costs $g_t = \phi(S_A^t)$. It follows that any $g_t > \phi(S_A^t)$ cannot be optimal. Since larger firms are more efficient ($\phi(S_A^t)$ decreases in S_A^t), the cap (which then binds only when S_A^t is large enough) is decreasing in S_A^t .

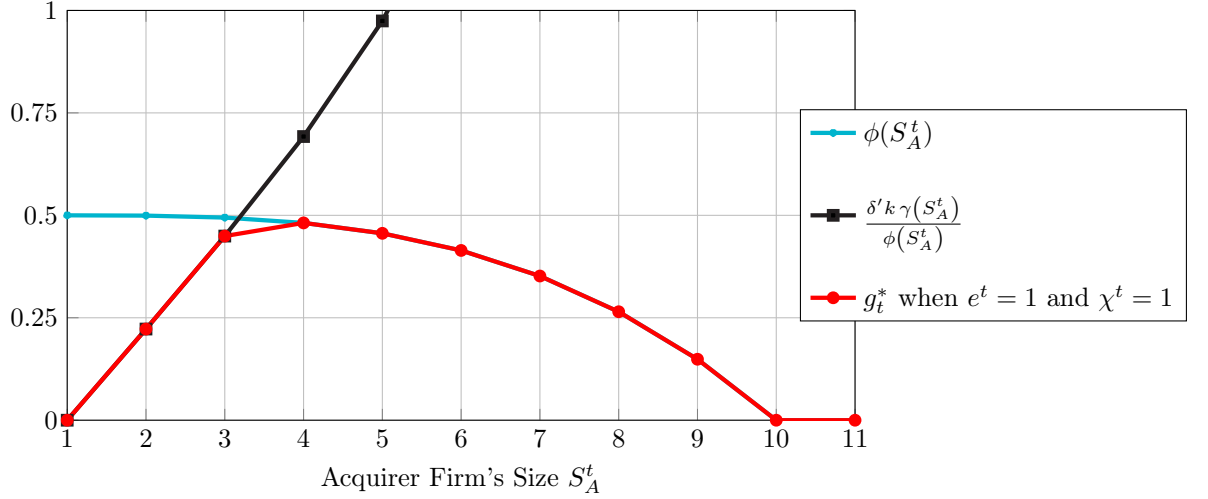


Figure 3
Equilibrium Political Support.

Note: The plot is obtained by setting $\phi(S) = \frac{1}{2} - \frac{1}{2}(\frac{S-1}{9})^3$, $\gamma(S) = \frac{S-1}{9}$, and $\delta'k = 1$.

These three forces combine to produce an inverted-U shape. When the firm is small, the first two forces dominate. Each acquisition increases the political consequences of a distress, and at the same time makes the politician infer that any observed distress must stem from a severe shock. Both forces push political support upward, while the third force (the upper bound on g) does not yet bite. When the firm is large enough, the third force takes over. The politician never grants more support than what suffices to keep the firm alive even under the worst possible shock. As the firm becomes more efficient, past a certain size, further acquisitions reduce the support the politician needs to provide.

Political support, and the fact that this is given by politicians who do not

have perfect information, allows the firm to make additional profits (even in periods of distress). To show this, we now compute the firm's per-period expected profit. When politicians are not eligible for re-election ($e^t = 2$), they never grant political support. Then, the firm's expected profit is simply:

$$\mathbb{E}[\pi^t \mid e^t = 2] = \mathbb{E}[\theta^t] - \phi(S_A^t) = \frac{1}{2} - \phi(S_A^t) .$$

When politicians are eligible for re-election ($e^t = 1$), they grant political support ($g_t^* > 0$) to distressed firms ($\chi^t = 1$). Then,

$$\begin{aligned} \mathbb{E}[\pi^t \mid e^t = 1] &= \\ &\int_0^{\phi(S_A^t)} (\theta + g_t^* - \phi(S_A^t)) d\theta + \int_{\phi(S_A^t)}^1 (\theta - \phi(S_A^t)) d\theta = \\ &\frac{1}{2} - \phi(S_A^t) (1 - g_t^*) . \end{aligned}$$

Because of political protection, the firm makes additional profits:

$$\mathbb{E}[\pi^t \mid e^t = 1] \geq \underbrace{\mathbb{E}[\pi^t \mid e^t = 2]}_{=\mathbb{E}[\pi^t \mid k=0]} .$$

We call these ‘‘Political Profits’’ (see Figure 4). Notice that an ex-ante distressed firm can also end up making positive profits because of political support. In particular,

$$\begin{aligned} &\Pr(\chi^t = 1) \mathbb{E}[\pi^t \mid e^t = 1, \chi^t = 1] = \\ (1) \quad &\int_0^{\phi(S_A^t)} (\theta + g_t^* - \phi(S_A^t)) d\theta = \phi(S_A^t) (g_t^* - \phi(S_A^t)) + \frac{\phi(S_A^t)^2}{2} \leq 0 , \end{aligned}$$

where $\Pr(\chi^t = 1) = \phi(S_A^t)$.¹⁶ For instance, $\mathbb{E}[\pi^t \mid e^t = 1, \chi^t = 1] > 0$ whenever g_t^* is high enough.¹⁷ Thus, because of its political power, the firm can earn positive profits even in periods of distress. This would not be the case if politicians could observe θ^t directly under perfect information, in which case, whenever some $g_t > 0$ is optimal: $g_t^* = \phi(S_A^t) - \theta^t \Rightarrow \mathbb{E}[\pi^t \mid e^t = 1, \chi^t = 1] = 0$.

When the firm's size is high enough, the equilibrium level of political support g_t^* decreases in the firm's size. However, in this region, $\mathbb{E}[\pi^t \mid e^t = 1]$ is still increasing in S_A^t . This happens because of market rather than political effects. The reduction in the firm's costs more than offsets the reduction in g_t^* . Moreover, political profits remain positive. This happens because when lobbying is effective ($e^t = 1$), the firm has a strictly higher probability of survival.

To make these additional political profits, the acquirer firm needs to complete

¹⁶Since $\Pr(\chi^t = 1) > 0$, the sign of the conditional expectation, $\mathbb{E}[\pi^t \mid e^t = 1, \chi^t = 1]$, coincides with the sign of (1).

¹⁷Note that $g_t^* = \phi(S_A^t)$ implies $\mathbb{E}[\pi^t \mid e^t = 1, \chi^t = 1] > 0$.

at least one acquisition. Therefore, the prospect of extracting these rents gives the firm an additional incentive to complete a sequence of acquisitions. When $k > 0$, the threshold cost up to which acquisitions are optimal is higher than under purely market incentives ($\bar{\epsilon}_m$). This is shown formally in Proposition 3.

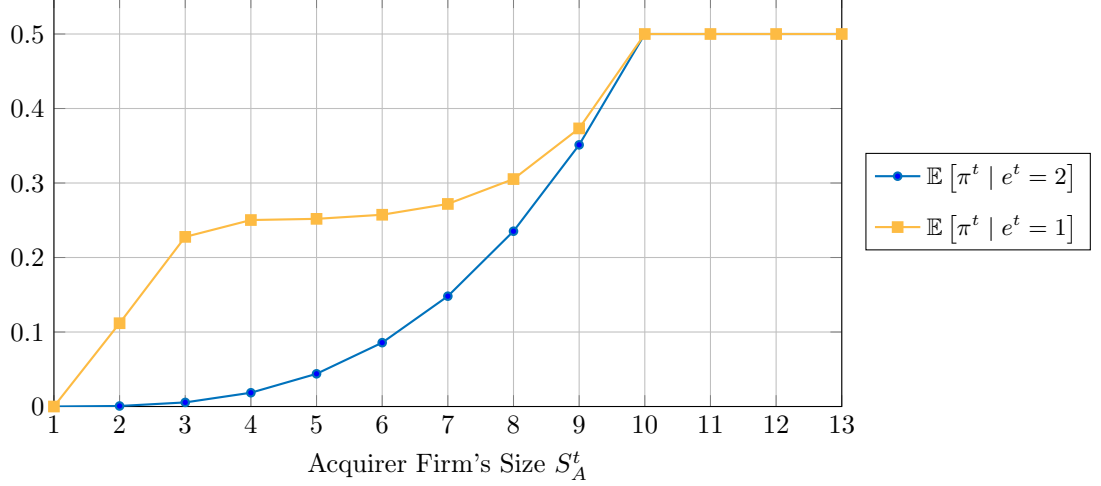


Figure 4
Market vs. Political Profits.

Note: The plot is obtained by setting $\phi(S) = \frac{1}{2} - \frac{1}{2}(\frac{S-1}{9})^3$, $\gamma(S) = \frac{S-1}{9}$, and $\delta'k = 1$.

PROPOSITION 3 (POLITICAL ACQUISITIONS) *There exists $\bar{\epsilon}_p(k) > 0$ such that, in each period t , the acquirer firm completes an acquisition if*

$$S_A^t + 1 \leq \hat{s}(k) \quad \text{and} \quad \epsilon \leq \bar{\epsilon}_p(k),$$

where $\hat{s}(k) := \max \{x \in \mathbb{N} \mid g_t^* < \phi(x)\}$. Moreover,

$$\bar{\epsilon}_p(0) = \bar{\epsilon}_m \quad \text{and} \quad \bar{\epsilon}_p(k) > \bar{\epsilon}_m \quad \forall k > 0.$$

Market consolidation can result from politicians' re-election incentives. There exists a region of the parameter space ($\epsilon \in (\bar{\epsilon}_m, \bar{\epsilon}_p(k))$) wherein the acquirer firm completes acquisitions that would not have been completed absent politicians' re-election incentives ($k = 0$). We call these "Political Acquisitions."¹⁸

It is important to notice that $\epsilon \leq \bar{\epsilon}_p(k)$ does not guarantee that acquisitions beyond size $\hat{s}(k)$ are optimal. When $S_A^t = \hat{s}(k)$, the firm's expected profit and survival probability may no longer be convex in S_A^t . As Figure 4 shows, the

¹⁸Three regions of the firm's size are worth distinguishing. For $S_A^t < \hat{s}(k)$, the cap on political support does not bind and acquisitions generate political rents. For $\hat{s}(k) \leq S_A^t < s'$, the cap binds and $g_t^* = \phi(S_A^t)$ decreases with further acquisitions: these no longer generate political rents, though they may still be profitable for market reasons. For $S_A^t \geq s'$, the firm survives without any support and no further acquisitions generate value.

marginal value of acquisitions flattens beyond $\hat{s}(k)$, breaking the convexity of the firm's value function.¹⁹

On the equilibrium path, as in Callander, Foarta, and Sugaya (2022), a feedback loop effect emerges. Market power increases political power. Each acquisition (until size $\hat{s}(k)$ is reached) increases the firm's market power, measured by the firm's margins $\theta^t - \phi(S_A^t)$. In each period, the firm has some probability of being distressed. Since politicians do not observe θ^t and larger firms' distress has stronger political consequences, increased market power results into stronger political influence. Politicians grant more support to larger firms. Furthermore, political power increases market power. First, from a static perspective, stronger political support increases the firm's margins (see Figure 4). Second, from a dynamic perspective, stronger political support today increases the firm's probability of survival tomorrow. On the equilibrium path, this increases the probability that further acquisitions are completed.

This feedback loop, however, is bounded. Once the firm is large enough, political support is decreasing in the firm's size. Politicians cannot offer more support than what would be needed to prevent the firm's distress with probability one. As the firm grows in size, its costs decrease. Therefore, this upper bound decreases accordingly. As soon as it is hit, acquisitions no longer generate political rents. The feedback loop breaks. Political power stops growing with size, and acquisition decisions simply follow market incentives.

4 Discussion

In this Section, we first explore the impact of politicians' re-election incentives on market structure. Second, we consider the welfare implications of the results. Last, we discuss possible industry applications of our framework.

4.1 The Impact of Politics on Market Structure

How do politicians' re-election incentives (high values of k) affect the equilibrium market structure? On the one hand, when the firm can leverage its size to extract political rents, it is more likely that market consolidation occurs. This is captured by the fact that $\bar{\epsilon}_p(k) > \bar{\epsilon}_m$ for all $k > 0$.

To see why higher k can make political acquisitions more likely, consider the following. Politicians fear large firms' distress: to prevent it, they grant political support. Since they do not know exactly *how much* support is needed, the firm can extract rents. Since the political cost of distress increases with size, acquisitions help the firm extract these rents. When k rises, politicians fear losing re-election more and grant more support, making acquisitions more attractive. However, this force does not dominate globally, as the discussion below makes clear.

¹⁹However, if the acquisition from $\hat{s}(k)$ to $\hat{s}(k)+1$ is completed, convexity is back. Therefore, if the firm finds it optimal to complete an acquisition when its size is $\hat{s}(k)$, it will complete all further acquisitions up to size s' .

On the other hand, when the firm has more political power, it may complete fewer acquisitions. This happens along two margins. First, when k is higher (and politicians grant more political support to the acquirer firm), the size level which maximizes the firm's political rents is smaller.²⁰ Since the firm might stop the sequence of acquisitions at this size (see Proposition 3), the equilibrium number of acquisitions may decrease in k .²¹

Second, the likelihood that the firm stops the sequence of acquisitions at this size is itself increasing in k . We can see this as follows. Once the firm reaches size $\hat{s}(k)$, further acquisitions no longer generate political profits (while still decreasing costs and increasing market profits). When S_A^t is sufficiently large that $g_t^* = \phi(S_A^t)$, the firm's profit and probability of survival do not depend on k . When politicians are eligible for re-election ($e^t = 1$), the acquirer firm survives each period with probability one and (conditional on $\chi^t = 1$) earns a political revenue of $g_t^* = \phi(S_A^t)$. When politicians cannot seek re-election, the firm's profit and survival probability only depend on $\phi(S_A^t)$. However, the value of stopping the sequence of acquisitions at size $\hat{s}(k)$ increases in k . At this size, g_t^* increases in k , increasing both the firm's profits and probability of survival.²²

The impact of politicians' re-election incentives on the equilibrium market structure is non-monotone. Stronger re-election incentives can make the acquirer firm start a sequence of Political Acquisitions, that is, acquisitions which would not have been profitable had lobbying not been possible. However, the same incentives simultaneously reduce the likelihood that the firm completes the entire sequence of possible acquisitions, thereby limiting market concentration.

The number of acquisitions in equilibrium can be inverted-U shaped in k ; see an example in Figure 5.

Suppose $\epsilon > \bar{\epsilon}_m$, so that any acquisition is driven by political effects.²³ If k is low, politicians' support is too weak for the firm to benefit from lobbying, so no acquisition is undertaken. As k increases, politicians grant more political support. Political rents are large, and the firm starts a sequence of acquisitions to extract such rents. However, when k is sufficiently high, politicians are so generous that fewer acquisitions are needed for the firm to extract political rents.

²⁰Formally, recall that g_t^* peaks as soon as $\delta'k\gamma(S_A^t) \geq \phi(S_A^t)^2$. Because the LHS increases in k while the RHS is constant in k , the maximizer is decreasing in k .

²¹In particular, g_t^* is either maximized at $\hat{s}(k)$ or at $\hat{s}(k) + 1$.

²²Formally, there exists a threshold $\bar{\epsilon}_s$ such that the firm completes the acquisitions from $\hat{s}$ to s' when ϵ is lower than this threshold. As discussed above, it is not guaranteed that $\bar{\epsilon}_s$ is greater or lower than $\bar{\epsilon}_p(k)$. However, $\bar{\epsilon}_s$ is decreasing in k . Then, when k is higher, it is less likely that these further acquisitions are performed.

²³When $\epsilon \leq \bar{\epsilon}_m$, politicians' incentives play no role in shaping the firm's acquisitions decisions.

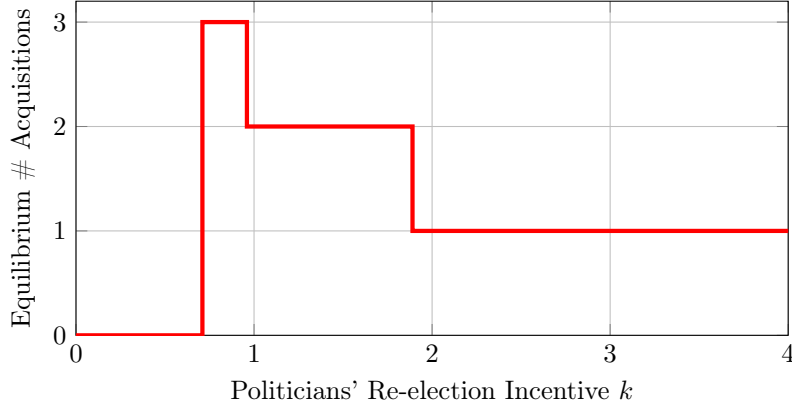


Figure 5

Non-monotone Effect of Politics on the Market Structure.

Note: The plot is obtained by numerically solving the firm's dynamic problem, setting $\phi(S) = \frac{1}{2} - \frac{1}{2} \left(\frac{S-1}{9} \right)^3$, $\gamma(S) = \frac{S-1}{9}$, $\delta = 0.60$, $\delta' = 0.90$, and $\epsilon = 0.05$.

4.2 Welfare Discussion

Existing research has warned against the risk of a Medici Vicious Cycle, whereby market power translates into political power, and vice-versa. This argument rests on the observation that large firms, by spending money on lobbying and campaign contributions, can buy political influence and use it to further entrench their market leadership. Under this view, lobbying and campaign finance regulations have the potential to cut the loop at its source.

Our model suggests this optimism is misplaced. When large firms' distress has political consequences and politicians can spend resources to help them, firms can grow strategically to extract political rents, thereby further increasing their political leverage. The vicious cycle survives even when direct transfers from firms to politicians are impossible.

Who bears the cost? Our model does not take a stance on whether using public resources to prevent large firms' distress is socially desirable. The same transfer that represents a cost to taxpayers may also prevent genuine social costs, e.g., job destruction, value-chain disruption, or financial contagion.

However, two welfare costs arise regardless. The first is static. Because politicians cannot observe the firm's financial condition, they cannot tailor support to what the firm truly needs: all ex-ante distressed firms receive the same transfer g_t^* . On average, the resources disbursed exceed the minimum necessary to achieve the same survival outcomes. The difference is partly captured as rent by firms with mild shocks, which receive more than they need, and partly spent on firms with severe shocks, which fail despite the transfer. This is clearly not optimal for taxpayers.

The second cost is dynamic, and more fundamental. The prospect of these rents distorts the firm's acquisition decisions, producing equilibrium market con-

centration that exceeds what market forces alone would generate. The welfare concern is not the bailouts themselves — these may well be justified — but the changes in market structure that their anticipation induces. Excessive concentration may harm consumers through higher prices, reduced quality, and less innovation — aspects that are muted in our model.

Three policy responses are possible. The first is to regulate transfers from firms to politicians through lobbying and campaign finance rules. Our analysis shows this is insufficient: the cycle survives even without such transfers. The second is to regulate transfers in the opposite direction, constraining politicians' ability to support distressed firms. This would reduce Political Acquisitions but would also force politicians to accept the social costs of bankruptcy, which may itself be undesirable. The third option is merger control. By blocking acquisitions that would not be profitable absent the prospect of political protection, antitrust policy can break the cycle at its source without constraining the politician's ability to intervene when intervention is genuinely warranted.

This last point has a practical difficulty. Political Acquisitions are difficult to distinguish from market-driven ones, as both involve standard M&A activity with plausible efficiency rationales. Yet the firm characteristics that determine political exposure — employment concentration, value chain centrality, sectoral criticality, infrastructural importance — are in principle observable before the fact. This suggests a case for prospective merger review that incorporates these dimensions of political sensitivity alongside the standard market-based screens. Antitrust policy has a role that extends beyond competition: by shaping which acquisitions are permitted, it also shapes the political influence that firms can accumulate through size.

The idea that merger review should incorporate considerations beyond standard market criteria, including too-big-to-fail susceptibility, is not new: Zimmer (2010) proposed it for the banking sector, and Hellwig (2010) discusses it in the broader context of competition policy and financial regulation. What our model adds is the first formal justification for this recommendation in an informational, non-quid-pro-quo setting, showing that the anticipation of political protection alone, without any transfers from firms to politicians, is sufficient to distort acquisition incentives and warrant a more expansive merger screen.

4.3 Applications

The main predictions from our model are as follows.

1. Industries where large firms' distress has severe political consequences, through employment, geographic reach, or systemic importance, should exhibit more politically motivated mergers and receive larger government transfers when distressed.
2. Market consolidation and political support are mutually reinforcing: as firms grow through acquisitions, their distress becomes increasingly costly for politicians, making government intervention more likely and further consolidation more attractive. Merger waves should anticipate bailouts.

3. The strength of these dynamics should increase with electoral competition: firms in politically contested industries or regions should exhibit both more consolidation and stronger anticipation of political protection.

Although formal empirical testing lies beyond the scope of this paper, we examine several case studies that are consistent with these predictions.

Banking. This is the most direct fit for the model. Banks are precisely the industry where “too big to fail” is openly acknowledged policy. The model’s cleanest prediction concerns the pre-crisis merger wave: the consolidation of the 1990s and early 2000s. NationsBank absorbing BankAmerica in 1998, the formation of JPMorgan Chase in 2000, JPMorgan Chase absorbing Bank One in 2004, Citicorp combining with Travelers to form Citigroup: they all happened in an environment where banks understood their growing systemic importance. Each acquisition made the surviving institution harder for politicians to let fail, which itself became a competitive advantage through cheaper borrowing costs due to implicit guarantees.²⁴ The 2008 crisis-era mergers (JPMorgan acquiring Bear Stearns and Washington Mutual, Bank of America absorbing Merrill Lynch) are a somewhat different phenomenon, driven partly by resolution logic rather than anticipatory political strategy, and should be distinguished from the pre-crisis wave our model speaks to. Yet the crisis itself demonstrated that when large banks faced distress, the political consequences for incumbent governments were so severe that massive transfers followed: TARP in the US, nationalisation in the UK, blanket guarantees across Europe.

The banking case also illustrates a broader point: political influence requires lobbying only when a firm lacks intrinsic political power. Size through acquisitions is one way to acquire it, but not the only one. Silicon Valley Bank was not large by any standard measure, yet its failure triggered immediate intervention because its depositor base was concentrated in a politically salient sector (the tech ecosystem). In the language of our model, what determines γ is not raw size but the political cost of failure, which can arise from geographic concentration, sectoral criticality, or the profile of those affected, even for relatively small firms.

Airlines. Airlines are interesting for a different reason: their political power is geographically distributed. A major carrier’s distress affects not one constituency but multiple — every hub city, every regional route. This makes the γ function in the model particularly fitting: the political damage from airline bankruptcy scales sharply with size because it’s felt across many political districts simultaneously. The US airline industry consolidated dramatically after deregulation, from over a dozen major carriers in the 1980s to effectively four today, and received major government support after 9/11 (USD 15bn), after 2008, and again during COVID (USD 50bn under the CARES Act). The pattern fits the model: consolidation increased political indispensability, which increased the

²⁴Empirically, Bertrand et al. (2018) show French banks with political connections received better regulatory treatment.

credibility of implicit government support, which in turn made further consolidation financially viable.

Automobiles. The 2009 GM and Chrysler bailouts are perhaps a vivid example of a large firm extracting political support at the moment of distress. The political logic was explicit: Michigan, Ohio, and Indiana were swing states, auto employment was deeply embedded in local economies, and the political cost of allowing the firms to fail was deemed unacceptable. What makes this interesting for the model is the *preceding* merger dynamics. The decades of consolidation in Detroit with the absorption of dozens of independent brands into the Big Three, created firms whose distress had the properties γ captures: each acquisition had made the surviving firm more systemically embedded. There is also a prospective element: industry observers have noted that US auto firms invested more in Washington lobbying capacity as they grew larger, consistent with the feedback loop the model describes.

Audit. The Big Four audit firms illustrate how γ can be large even when employment is modest. Their distress is politically intolerable not because of headcount but because every public company, every disclosure regime, and every securities market depends on them, as the collapse of Arthur Andersen in 2002 demonstrated. Political support takes the form of regulatory forbearance: incumbents receive lenient oversight because regulators cannot afford to be seen triggering a repeat of that episode. The consolidation of the profession through the 1990s made each surviving firm progressively harder to discipline, replicating the feedback loop the model describes.

Big Tech and AI. This is the most forward-looking case. The standard concern about big tech consolidation focuses on consumer prices or data privacy. But the model points to a different, underappreciated dynamic. Consider the current wave of AI-related acquisitions and partnerships: Microsoft’s investment in OpenAI, Google’s in Anthropic, Amazon’s in both Anthropic and various AI infrastructure firms, Meta’s internal buildout. These firms are becoming deeply embedded in public infrastructure: think of government cloud contracts, healthcare AI, financial services, national security applications. As this embedding deepens, their distress would have severe political consequences: not job losses in the traditional sense, but disruption of critical digital infrastructure on which entire sectors depend. The model predicts that politicians will increasingly offer political support, such as regulatory forbearance, favourable procurement decisions, or resistance to breakup, precisely because these firms have grown large enough that their distress is politically unacceptable.

There is also an interdependency angle unique to tech that the model doesn’t capture directly but can shed some light on. Big tech firms are simultaneously competitors, customers, and suppliers of each other: Microsoft sells cloud to OpenAI’s competitors while investing in OpenAI; Google distributes Apple’s products while competing with Apple in AI. This web of interdependencies means that the distress of any one large node has cascading consequences throughout the ecosystem. If Microsoft were to face severe financial distress, the disruption to Azure-dependent firms, to Teams-dependent organisations,

to GitHub-dependent developers, would create political pressure far exceeding what a simple head-count of Microsoft employees would suggest. This makes γ not just a function of a single firm’s size but of its centrality in a network, which is a natural extension of the model.

Across all these industries, a common pattern emerges: merger waves often precede, and arguably precipitate, bailout events. The consolidation is not random — it is partly rational anticipation of the political support that size will eventually generate. Our model is the first formal treatment of this anticipatory logic in an informational (non-quid-pro-quo) setting.

5 Conclusions

We propose a model where firms grow through acquisitions to become politically indispensable. Large firms obtain political favors not because they pay for them, but because politicians cannot afford to let them fail. Acquisitions are the instrument through which firms achieve this. The mechanism differs from conventional lobbying in a key way: the firm neither pays politicians nor communicates information strategically. Its political influence derives entirely from its size. The resulting feedback loop between size, political protection, and further growth is self-sustaining and immune to the standard tools designed to limit firms’ political influence.

Standard antitrust policy focuses on the market effects of mergers, such as prices, quality, and innovation. Our model points to a complementary concern: acquisitions can be motivated by political rather than market logic. A firm that acquires competitors to become too big to fail imposes static costs on taxpayers and distorts political incentives, even if consumers are unaffected in the short run. The prospect of these rents also further distorts the firm’s acquisition decisions, producing excessive concentration in the long run. This calls for a dialogue between competition policy and political economy that current frameworks do not support.

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Appendix — Proofs

PROOF [Proposition 1] Assume $k = 0$. The proof follows three steps.

Step 1. In this step, we show that when $k = 0$, given any message μ_t , politicians never grant political support to the acquirer firm.

The politician’s life-time payoff, $U(S_A^t, e^t)$, can be written as:

$$U(S_A^t, e^t) = \begin{cases} k - \frac{1}{2}g^2 + \delta'(1 - \gamma(S_A^t))k & , \text{ if } \theta^t + g^t < \phi(S_A^t) \text{ and } e^t = 1 \\ k - \frac{1}{2}g^2 + \delta'k & , \text{ if } \theta^t + g^t \geq \phi(S_A^t) \text{ and } e^t = 1 \\ k - \frac{1}{2}g^2 & , \text{ if } e^t = 2 \end{cases} .$$

When $k = 0$, $U(S_A^t, e^t) = -\frac{1}{2}g_t^2$ for all e^t and S_A^t . Then, $g_t^* = 0$. This completes the proof of 1.

Step 2. In this step, we show that no acquisition after $S_A^t = s'$ can be optimal.

Suppose $S_A^t = s \geq s'$, $\phi(s) = 0$. Any additional acquisition has a cost of ϵ but leaves both the firm’s per-period profit ($= \frac{1}{2}$) and its survival probability

(= 1) unchanged. Then, these acquisitions cannot be optimal.

Step 3. In this step, we show that there exists $\bar{\epsilon}_m \geq 0$ such that:

$$\alpha_t^* = 1 \quad \forall \quad S_A^t + 1 \leq s' \Leftrightarrow \epsilon \leq \bar{\epsilon}_m .$$

Politicians never grant political support to the acquirer firm. The firm solves a stochastic dynamic programming problem. The problem's state is one-dimensional. Politicians' tenure e^t plays no role. The state variable is the firm's size S_A^t .

Suppose the state is $S_A^t = s$, for some $s \in \{1, \dots, s' - 1\}$. The Bellman Equation reads:

$$(A1) \quad V(s) = \frac{1}{2} - \phi(s) + \delta(1 - \phi(s)) \max \left\{ V(s+1) - \frac{\epsilon}{\delta}, V(s) \right\} .$$

For all $s \geq s'$,

$$(A2) \quad V(s) = \frac{1}{2} + \delta V(s) \Rightarrow V(s) = \frac{1}{2(1-\delta)} > 0 .$$

When the firm faces an acquisition opportunity it asks whether it is better to pay the re-organization cost $\epsilon \geq 0$ today and start the next period with size $S_A^{t+1} = s+1$, or pay nothing today and start the next period with size $S_A^{t+1} = s$.²⁵ Formally,

$$(A3) \quad \alpha_t^* = 1 \Leftrightarrow \delta V(s+1) - \epsilon \geq \delta V(s) \Leftrightarrow \frac{\epsilon}{\delta} \leq V(s+1) - V(s) .$$

Now, from (A1), notice that $V(s)$ is the sum of convex functions of s . This follows from the concavity of ϕ .²⁶ Then,

$$(A4) \quad \frac{\epsilon}{\delta} \leq \underbrace{V(2) - V(1)}_{:= \bar{\epsilon}_m / \delta} \leq V(3) - V(2) \leq \dots V(s') - V(s' - 1) ,$$

which completes the proof.

PROOF [Proposition 2] Consider a lobbying opportunity in period t . The state is the pair (S_A^t, e^t) , where S_A^t is the acquirer firm's size and e^t is the politician's tenure.

Proof of Statement 1. The acquirer firm's continuation value solves:

$$V(S_A^t, e^t) = \mathbb{E}[\pi^t] + \delta [1 - \Pr(\theta^t + g_t < \phi(S_A^t))] \max \left\{ V(S_A^t + 1, e^{t+1}) - \frac{\epsilon}{\delta}, V(S_A^t, e^{t+1}) \right\} .$$

²⁵We assume that indifference is broken in favor of acquisitions.

²⁶The Bellman operator is convex because it is constructed from the sum and maximum of convex functions. Since both $\mathbb{E}[\pi^t(s)] = \frac{1}{2} - \phi(s)$ and the survival probability $1 - \phi(s)$ are (weakly) increasing and convex in s , the value function $V(S)$ that solves Equation (A1) is increasing and convex in s .

Since the probability of ex-post distress,

$$\Pr(\theta^t + g_t < \phi(S_A^t)) ,$$

is (weakly) decreasing in g_t , and the per-period profit function π^t is strictly increasing in g_t , then $V(S_A^t, e^t)$ is strictly increasing in g_t .

Suppose, by contradiction, that two types of acquirer firm, θ and $\tilde{\theta}$, send two different equilibrium messages, μ and $\tilde{\mu}$, inducing $g_t > \tilde{g}_t$. The firm of type $\tilde{\theta}$ can profitably deviate and improve upon its equilibrium payoff by sending the on-path signal μ . This concludes the proof of Part 1.

Proof of Statement 2. We distinguish among three cases.

Case (i). Suppose $e^t = 2$. The politician's lifetime ends by the end of the period. Then, their lifetime utility is: $k - \frac{1}{2}g_t^2$, which is maximized at $g_t^* = 0$.

Case (ii). Suppose $e^t = 1$ and $\chi^t = 0$. Because $\theta^t \geq \phi(S_A^t)$, then $\Pr(\theta^t + g_t < \phi(S_A^t)) = 0$. The politician's problem is analogous to the previous case, so that $g_t^* = 0$.

Case (iii). Suppose $e^t = 1$ and $\chi^t = 1$. From the politician's perspective, $\theta^t \sim U[0, \phi(S_A^t)]$.

For $g_t < \phi(S_A^t)$, the probability of ex-post distress is

$$\Pr(\theta^t + g_t < \phi(S_A^t)) = \frac{\phi(S_A^t) - g_t}{\phi(S_A^t)} .$$

The politician's lifetime payoff is:

$$k - \frac{1}{2}g_t^2 + \delta'k \left(1 - \gamma(S_A^t) \cdot \frac{\phi(S_A^t) - g_t}{\phi(S_A^t)} \right) .$$

The first-order condition is:

$$-g_t + \frac{\delta'k \gamma(S_A^t)}{\phi(S_A^t)} = 0 \Rightarrow g_t = \frac{\delta'k \gamma(S_A^t)}{\phi(S_A^t)} := g^\dagger .$$

Among all $g^\dagger < \phi(S_A^t)$, $g^\dagger$ is optimal. Notice that $\phi(S_A^t)$ is the level of political support which saves even the most unlucky firm ($\theta^t = 0$) from ex-post distress. Higher levels of political support cannot be optimal. This completes the proof.

PROOF [Proposition 3] This proof follows the same argument presented in the Proof of Proposition 1. Throughout this proof, $V(s)$ denotes the value function under $k = 0$ as derived in Proposition 1, while $V(s, e)$ denotes the value function under $k > 0$ with politician tenure e . First, define the highest integer such that political support is not bounded, i.e.,

$$\hat{s}(k) := \max \{x \in \mathbb{N} \mid g_t^* < \phi(x)\} .$$

Now, notice that g_t^* is strictly convex (by concavity of ϕ and convexity of γ) in the interval $[0, \hat{s}(k)]$.²⁷ To see this, compute the second-order partial derivative

²⁷ $\hat{s}(k)$ is a function of k since g_t^* is a function of k .

of g_t^* with respect to S_A^t .²⁸

$$\frac{\partial^2}{\partial (S_A^t)^2} \left\{ \delta' k \frac{\gamma(S_A^t)}{\phi(S_A^t)} \right\} = \frac{\delta' k \left(\phi(S_A^t)^2 \gamma''(S_A^t) - \phi(S_A^t) (2\gamma'(S_A^t) \phi'(S_A^t) + \gamma(S_A^t) \phi''(S_A^t)) + 2\gamma(S_A^t) \phi'(S_A^t)^2 \right)}{\phi(S_A^t)^3} \geq 0 .$$

Hence, the firm's profit and survival probability functions are also convex. This ensures that, inside this interval, the firm's value function is strictly convex in S_A^t . Then, assuming $\hat{s}(k) > 2$, if:²⁹

$$\epsilon \leq \delta [V(2, 2) - V(1, 2)] := \bar{\epsilon}_p(k) ,$$

then the firm completes the first $\hat{s}(k) - 1$ acquisitions.

Now, recall that

$$\bar{\epsilon}_m = \delta [V(2) - V(1)]$$

as from equation (A4). We want to prove that, for all k ,

$$(A5) \quad \bar{\epsilon}_p(k) \geq \bar{\epsilon}_m ,$$

with strict inequality for $k > 0$. Condition (A5) can be re-written as

$$V(2, 2) - V(1, 2) \geq V(2) - V(1) .$$

Let us define:

$$\Delta(s) = V(s, 2) - V(s) .$$

Condition (A5) can be re-written as:

$$(A6) \quad \Delta(2) \geq \Delta(1) ,$$

with strict inequality for $k > 0$.

At size $S_A^t = 1$, the firm obtains no political protection because $\gamma(1) = 0$ so that $g_t^* = 0$. The firm's per-period profits and survival probability are identical to the case of $k = 0$. Therefore, the premium $\Delta(1)$ does not come from any current-period gain. It is entirely *prospective*: it represents the discounted value of the political benefits the firm might receive in the future, should it grow to size $S_A^t = 2$.

²⁸Convexity may fail for $S_A^t > \hat{s}(k)$ as shown by Figure 4.

²⁹The value difference $V(2, e^{t+1}) - V(1, e^{t+1})$ depends on the tenure of the office-holder in the period following the acquisition (importantly, e^{t+1} is exogenous to the firm's acquisition decision). Since $e^1 = 1$, and since the first acquisition opportunity arises conditional on the firm's survival — which implies the incumbent's re-election — the first acquisition decision faces $e^{t+1} = 2$. This pins down the threshold. If $\epsilon \leq \bar{\epsilon}_p(k)$, acquiring at the first opportunity is optimal, and the convexity argument above extends the result to the subsequent acquisitions, using that the marginal value of size is weakly higher when the next office-holder is eligible, i.e., $V(s+1, 1) - V(s, 1) \geq V(s+1, 2) - V(s, 2)$.

At size $S_A^t = 2$, the firm obtains political protection because

$$\gamma(2) > 0 \Rightarrow g_t^* > 0$$

whenever the incumbent is eligible ($e^t = 1$) and $\chi^t = 1$. Since $e^{t+1} = 2$, this benefit accrues from the period after, when a new eligible politician takes office. The premium $\Delta(2)$ is therefore composed of the realization of these political benefits plus the discounted value of all future political benefits.

The comparison is now clear. The premium at size 1, $\Delta(1)$, is the discounted *prospect* of future gains, which requires the firm to first pay ϵ and survive to size 2. The premium at size 2, $\Delta(2)$, is the *realization* of those gains. Therefore, since the prospect is discounted, requires paying the acquisition cost ϵ , and is borne at a higher survival risk ($\phi(1) > \phi(2)$) we have that, $\Delta(2) > \Delta(1)$ for any $k > 0$.

When $k = 0$, no political support is ever given, so $\Delta(s) = 0$ for all s . This completes the proof.